NC Real Estate Acronym Cheat Sheet

Nov 2, 2026 · @Mel

Every acronym, memory hook, deadline and formula from your practice sets, in one place.

Acronyms

Acronym	Stands for	Hint
APR	Annual Percentage Rate	The true cost of credit: interest plus points and certain fees. Lets borrowers compare lenders.
ARM	Adjustable-Rate Mortgage	Rate = index + margin. The index moves, the margin stays put, caps limit the change.
BIC	Broker-in-Charge	Supervises the office and its provisional brokers. Can't be a designated agent against their own provisional broker.
BICUP	Broker-in-Charge Update Course	BIC's annual CE, plus an elective, by June 10. Miss it and you lose BIC status, not your license.
CRV	Certificate of Reasonable Value	The VA's appraisal. Price above the CRV? The veteran can walk away or pay the gap in cash.
DD	Due Diligence (fee and period)	The buyer's only escape hatch on Form 2-T. Fee goes to the seller; earnest money comes back if the buyer terminates in time.
DUST	Demand, Utility, Scarcity, Transferability	The four elements of value. Original cost is NOT one.
ECOA	Equal Credit Opportunity Act	**E**qual: no lending discrimination. Adds protections Fair Housing doesn't have: age, marital status, and receiving public assistance.

Acronym	Stands for	Hint
EMD	Earnest Money Deposit	Into the trust account within 3 banking days of acceptance. Disputed? It stays put.
FCRA	Fair Credit Reporting Act	**R**eporting: see your credit report and dispute errors.
FEMA	Federal Emergency Management Agency	Runs the NFIP and maps flood zones.
FHA	Federal Housing Administration	**Insures** loans; doesn't lend. 3.5% minimum down. No prepayment penalty.
FIRM	Flood Insurance Rate Map	FEMA's flood zone maps that set Special Flood Hazard Areas.
FSBO	For Sale By Owner	Still needs the Residential Property Disclosure form.
GRM	Gross Rent Multiplier	Quick estimate: sale price ÷ gross rent. No depreciation.
HO-3	Homeowners special form	The standard policy lenders require. HO-4 = renters, HO-6 = condos.
IRV	Income, Rate, Value	I = R × V. Value = NOI ÷ cap rate. Also works for interest: Principal = Interest ÷ Rate.
LE	Loan Estimate	Within 3 business days of applying, with the Toolkit booklet.
LTV	Loan-to-Value ratio	Loan ÷ value, using the LOWER of price or appraisal. Over 80% usually means mortgage insurance.
MCCLW	Mutual assent, Consideration, Capacity, Lawful purpose, Writing	The essential elements of a valid real estate contract. Witnesses are NOT one.

Acronym	Stands for	Hint
NCREC	NC Real Estate Commission	Regulates licensees only. Never disciplines buyers or sellers. 9 members: 7 appointed by the Governor, 2 by the legislature. At least 3 brokers, at least 2 public members, 3-year terms. Penalties: reprimand, censure, suspend, revoke. No fines, no criminal charges. Licensee always has a right to a hearing.
NFIP	National Flood Insurance Program	Maps zones, offers policies, requires coverage in flood zones with federally backed loans.
NOI	Net Operating Income	Always net, always annual, for cap rate and the income approach.
PITI	Principal, Interest, Taxes, Insurance	The monthly house payment. Counts in both qualifying ratios.
PMI	Private Mortgage Insurance	Usually required on conventional loans above 80% LTV.
RESPA	Real Estate Settlement Procedures Act	**S**ettlement: the Toolkit, settlement disclosures, and NO kickbacks (even a gift card).
Reg Z	Regulation Z	The rules that carry out TILA. Same law, different name.
TILA	Truth in Lending Act	**T**ruth about cost: APR and advertising trigger terms.
TRID	TILA-RESPA Integrated Disclosure	TRID = TILA + RESPA. Loan Estimate 3 days after applying; Closing Disclosure 3 days before closing.
UETA	Uniform Electronic Transactions Act	Fax and e-signatures are as binding as ink.
VA	Department of Veterans Affairs	**Guarantees** loans. Zero down for veterans. No prepayment penalty.

Acronym	Stands for	Hint
FReSH CoRN	Familial status, Religion, Sex, Handicap, Color, Race, National origin	The 7 federal fair housing protected classes. Age is NOT one.
OLDCAR	Obedience, Loyalty, Disclosure, Confidentiality, Accounting, Reasonable skill and care	Fiduciary duties an agent owes a client. Keeping the seller's bottom price private = Confidentiality.
COLA	Competent parties, Offer and acceptance, Legal purpose, Adequate consideration	Elements of a valid contract (real estate sales must also be in writing).
MARIA	Method of attachment, Adaptability, Relationship of the parties, Intention, Agreement	Fixture tests. Cost is NOT a test. A built-in bookcase is a fixture and stays.
IIU	Immobility, Indestructibility, Uniqueness	Physical characteristics of land. Uniqueness is why courts allow specific performance.
SIPS	Scarcity, Improvements, Permanence of investment, Situs (area preference)	Economic characteristics of land. Situs = location, location, location.
DEPCE	Disposition, Enjoyment, Possession, Control, Exclusion	Bundle of legal rights. A lease gives the tenant possession and enjoyment; the owner keeps disposition.
PITT	Possession, Interest, Time, Title	Four unities of joint tenancy. Different times or deeds = tenants in common. Don't confuse with PITI.
OCEAN	Open, Continuous, Exclusive, Adverse (hostile), Notorious	Adverse possession. Use with the owner's permission isn't hostile, so the claim fails.
LPFM	Legally permissible, Physically possible, Financially feasible, Maximally productive	Highest and best use tests, in order. Fails zoning = fails the first test.
PETE	Police power, Eminent domain, Taxation, Escheat	Government powers over property. No will, no heirs = escheat to the state.

Acronym	Stands for	Hint
RPOADS	Residential Property and Owners' Association Disclosure Statement	Give before the offer. Late = buyer may cancel within 3 calendar days (never after closing or occupancy).

Fair housing acronyms

Acronym	Stands for	Hint
HUD	U.S. Department of Housing and Urban Development	Enforces the federal Fair Housing Act. Complaints go to HUD.
HOPA	Housing for Older Persons Act	Lets senior communities exclude families with children (an exemption from familial status). 55+ communities: at least 80% of units have one resident 55+. Or 62+: every resident.
ADA	Americans with Disabilities Act	Commercial and public buildings: parking, ramps, entrances. Homes fall under Fair Housing instead.
NCHRC	NC Human Relations Commission	Enforces the NC State Fair Housing Act. NC complaints go here.
Familial status	Protected class under Fair Housing	Families with children under 18, pregnant women, and anyone getting custody of a child. Senior housing under HOPA is the exception.
Owner-occupied exemption	"Mrs. Murphy" rule	An owner living in a building of 4 units or fewer can be exempt when renting the other units, without a broker or discriminatory ads.

Fair housing hooks

Topic	Hook
7 federal protected classes	Race, color, religion, national origin, sex, familial status, disability. Not age, marital status, or job (age is protected in lending under ECOA).
1988 amendments	Added familial status and disability.
Familial status	Children under 18 (a 17-year-old counts), pregnant women, anyone getting custody. Good intentions don't excuse limiting their choices (like only first-floor units for toddlers).
Disability	A past history of alcoholism or drug addiction counts. Current illegal drug use doesn't.
1866 Civil Rights Act	Race has no exemptions, ever. Exemptions can get an owner out of the 1968 and NC acts, but never the 1866 Act for race.
Redlining	Lender refuses loans in an area because of who lives there.
Steering	Agent guides buyers toward or away from areas. Includes "you may not want to live there."
Blockbusting / panic peddling	Agent scares owners into selling by saying a protected group is moving in.
Advertising	Describe the house, not who should live there. Avoid "upscale," "exclusive," religious landmarks, and photos showing only one race.
Legal screening	The same financial standards (credit, income, loan approval) for everyone = legal.
Penalties	Commission: license discipline. HUD and courts: fines and damages. Criminal court: jail for force or intimidation.

Memory hooks

Topic	Hook
-or vs. -ee	The **-or gives**, the **-ee receives**. Mortgagor, trustor, optionor, offeror, vendor = the giver.
Mortgage vs. deed of trust	Mortgage: mortgagor (borrower) → mortgagee (lender). Deed of trust: trustor (borrower) → beneficiary (lender), with a trustee in between. NC uses the deed of trust.
Note vs. security	Note = the promise to pay. Mortgage or deed of trust = the security behind it.
Payoff documents	Mortgage → satisfaction. Deed of trust → reconveyance, from the trustee to the borrower.
Life of a loan	Hypothecation (pledge, keep the keys) → amortization (pay it down) → defeasance (paid off, lien gone).
Loan clauses	Acceleration = default makes it all due. Alienation = sale makes it all due. Escalator = rate goes up. Defeasance = paid in full, lien ends. Subordination = a lender steps back in line (not subrogation, where an insurer steps into the insured's shoes). Asked for a "clause" → defeasance; the "document" you receive → reconveyance or satisfaction.
Loan types	Term = interest now, principal at the end. Blanket = several properties, with a release clause to free one lot at a time. Package = house plus personal property. Wraparound = new loan wraps around an existing one. Open-end = borrow more later, up to a limit (like a HELOC). Purchase money = seller finances. Negative amortization = balance grows.
Subject to vs. assume	Subject to = buyer can lose the house, seller owes the debt. Assume = buyer owes the debt too.
Assignment vs. novation	Assignment = new party steps in, old party still liable. Novation = new contract, old party released.

Topic	Hook
Redemption	Equitable = before the foreclosure sale. Statutory = after the sale (NC has none; it has a 10-day upset bid).
Contract status	Valid works. Voidable can be cancelled by one side (minor, drunk). Void never existed. Unenforceable won't hold up in court (oral sale). Void examples: illegal purpose, signer already declared incompetent by a court, no adequate land description. Contract types: bilateral = both bound (purchase contract); unilateral = one bound (option). Express = stated in words; implied = shown by actions. Executory = still in progress; executed = done. Rescission = cancel and rewind. Specific performance = court orders the deal completed.
Death of a party	The agency dies with the seller. The sales contract outlives buyer or seller.
Listing types	Exclusive right to sell = firm paid no matter who sells. Exclusive agency = unless the owner sells. Open = only the firm that sells. Net listing = illegal in NC.
Disclosure	OLD CAR = the fiduciary duties owed to a client: Obedience, Loyalty, Disclosure, Confidentiality, Accounting, Reasonable care (skill and diligence). Clients get all six. Everyone gets honesty and material facts. Fault follows knowledge.
"No Representation"	Covers the seller, never the agent.
Brochure	A disclosure, not a contract: hand it over at first substantial contact. No signature required. Sales only, not leases.
Comps	Subject = the home you're valuing. Comparable = a similar home that sold. Always adjust the comp, never the subject. CBS: Comp Better, Subtract. CPA: Comp Poorer, Add.

Topic	Hook
Antitrust	Needs competitors agreeing. Price fixing, market allocation, group boycott.
Prorations	Prorations are double entries for the same amount. Prepaid = credit the one who paid. Paid in arrears = debit the seller.
Lending laws	Reporting → FCRA. Equal → ECOA. Truth about cost → TILA. Settlement → RESPA.
Secondary market	Fannie, Freddie and Ginnie never lend to you. They buy or back loans after the lender makes them.

More hooks: finance, appraisal and property management

Topic	Hook
Appraisal approaches	Homes → sales comparison (market approach, CMA). Income property → income approach, also called capitalization: NOI ÷ cap rate = value. New or special-purpose buildings → cost approach.
Cost approach	Materials + labor − depreciation + land. The only approach that uses depreciation. Sets the **upper** limit of value. Land never depreciates. Never uses net income.
Depreciation types	Physical = wear and tear. Functional = outdated design inside the home. Economic (external) = problems outside the lot, always incurable.
Equity	Value now − loan now.
Amortized vs. PITI	Amortized payment = principal + interest only. PITI adds taxes and insurance, usually through escrow.
First month's interest	Loan × rate ÷ 12.
TILA right of rescission	Refinance or borrow against the home you live in = 3 business days to cancel. Buying the home, or investment/commercial loans = no rescission.

Topic	Hook
TILA coverage	Consumer loans only. Commercial, business and agricultural loans are exempt.
Who picks	The buyer picks the closing attorney. The lender's appraisal management company (AMC) picks the appraiser. Nobody who profits from the price picks the appraiser.
VA loans	Zero down. For veterans and certain surviving spouses, not other family. Funding fee waived for veterans with a service-connected disability. No prepayment penalty.
Property manager	Runs the property day to day. Capital improvements, depreciation schedules and tax decisions belong to the owner. Paid on rent collected, not owed.
Fair housing in management	Same screening for every applicant, same concessions offered to all. "Spot checking" some applicants is a red flag.
Leases after a sale	The lease stays with the building. The new owner honors the full remaining term.
Unlicensed assistants	Can show units, fill in approved forms and collect rent. Paid a salary, never a commission.
Owner's own employee	A salaried employee managing the owner's own property needs no license.
180 days	1031 exchange: 45 days to identify, 180 days to close. NC license exam: pass within 180 days of applying.
Late fees	Max $15 or 5% of the monthly rent, whichever is greater. Rent must be at least 5 days late. One late fee per late payment, and it must be in the lease.
Lease copies to the owner	Property managers can skip sending every lease if they send the owner an accounting within 45 days: property address, tenant name, rent amount.

Topic	Hook
Cap rate and debt service	Value uses NOI. Debt service (mortgage payments) never goes into NOI; it only matters for cash flow and the equity dividend rate.
Adjusted basis	Purchase price + closing costs + capital improvements. Ignore the loan amount and repairs like painting. (One school question treated a new roof as a repair; normally it's an improvement.)
Foreclosure and leases	A sale doesn't end a lease, but a foreclosure by an earlier lender can. A survivorship clause lets the lease survive. Quiet enjoyment only protects against the landlord.
Flood zones	A flood zone never blocks a purchase. It just means flood insurance is required on a federally backed loan.
Limited partnership	Limited partners invest money, risk only that amount, and don't run the business. A general partner runs it with full personal liability.
360 vs. 365 days	Use whatever the question says. 365 = real calendar days per month. 360 = 30-day months. Prorate to the closing date, never the contract date.

Landlord-tenant hooks

Topic	Hook
Self-help eviction	Illegal: no changing locks, cutting utilities, or removing belongings. Landlord must use the court (summary ejectment).
Retaliatory eviction	Tenant's defense when the landlord tries to evict within 12 months after the tenant asked for repairs, complained to a government agency, or joined a tenants' group.

Topic	Hook
Imminently dangerous conditions	Must be fixed in a reasonable time: no working toilet, tub/shower, heat, or drinkable water; unsafe wiring, floors, ceilings, steps, roof or chimney; broken windows/doors or locks that leave the unit unsecured; rats; sewage. Smoke and CO detectors are a separate rule.
Domestic violence lock change	Within 48 hours of request, or let the tenant do it. Tenant can be charged. Abuser still owes rent but gets no key.
Early lease termination	Military (orders 50+ miles away or deployment), DV/sexual assault/stalking victims, families of a service member who died on active duty. Not a job transfer.
Security deposit return	Regular lease: 30 days (interim within 30, final within 60). Vacation rental: 45 days. Itemized, actual costs only. Never kept automatically for a breach.
Holding deposits	Owners: trust account or bond. Brokers: trust account only.
Service animals	Not pets: no ban, no pet fee. Landlord may ask for documentation if the need isn't obvious. A reasonable non-refundable pet fee is allowed for real pets.
Tenant dies alone	Landlord files an affidavit (10 days after paid rent ends), stores belongings, holds them 90 days. Belongings $500 or less can go to a nonprofit instead.
Lease vs. zoning	Zoning sets what's allowed. A lease, deed restriction or HOA can be stricter, and the stricter rule wins.
Which law applies	Residential Rental Agreements Act covers homes, not hotels/motels. Vacation Rental Act = vacation purpose + under 90 days, must be written. Leases over 3 years must be written (Statute of Frauds).

Topic	Hook
Vacation rental sale	Buyer must honor stays starting within 180 days of closing. Later bookings can be cancelled and refunded.
Tenant laws vs. Commission rules	Tenant-protection laws apply to every landlord. Commission rules (like trust accounts) apply only to licensees.

Broker practice hooks

Topic	Hook
Commingling	Broker's money + client money in one account. The broker's own rents never go in the trust account. Exception: a small cushion (up to $100) for bank fees.
Trust account interest	Allowed with written consent. Pull the broker's share out regularly. Reconcile the account every month.
Third-party checks	Broker may courier only the DD fee (to the seller) and earnest money (to the closing attorney). Deliver within 3 days; the buyer can call the check back until it's delivered. No trust account deposit.
BPO / CMA	Treated the same in NC. Full brokers can charge for one; provisional brokers can't. Never call it an appraisal.
Practicing law	Filling in blanks on attorney-made forms = OK. Drafting documents, judging title, or advising how to hold title = not OK. Drafting a lease for your own property = OK.
Closing Disclosure	Brokers review it for their client and flag errors to the attorney. They don't prepare, correct or deliver it.
Selling your own property	Still disclose material facts and your license status. Can't be the buyer's agent at the same time.

Topic	Hook
Gifts and incentives	Gift from your own client = fine. Incentive from a builder or third party = disclose to your client (in writing before the offer if the agreement is written). Paid through your firm unless you are the firm.
Mortgage fraud	Hidden from the lender = fraud (false occupancy, side deals, fake gift letters). Disclosed on the Closing Disclosure = fine.
Square footage	Not required to measure, but if reported it must be accurate. Listing agent measures (from exterior walls, 7 ft ceilings for living area). Buyer's agent can rely on it unless the error is obvious. Never rely on tax records, old appraisals, or the seller.
Changing firms	Commission for an old deal is paid by the old firm. A provisional broker between BICs is inactive, not expired.
Agency type	Property management = general agency. Listing = special agency. Agreements are with the firm, not the individual agent.
Discipline appeals	Licensee always gets a hearing. After a final decision, 30 days to ask a court to review it.

NC deadlines

Money moves immediately, paperwork takes 3 days, the Commission gets 10, convictions get 60.

Rule	Deadline
Trust money, provisional broker → BIC	Immediately
Earnest money check given with an offer → trust account	3 **banking** days after acceptance

Rule	Deadline
Earnest money in cash → trust account (hook: check with an offer, clock starts at acceptance; cash, clock starts at receipt)	3 banking days after receipt
Present offers to the seller	As soon as possible, no later than 3 days, until closing
Copies of documents to clients and to the firm	Within 3 days
Brochure by phone or email	Send within 3 days
Disclosure Act cancellation (form not delivered)	Within 3 calendar days, never after closing or occupancy
Loan Estimate + Toolkit	Within 3 business days after applying
Closing Disclosure	At least 3 business days before closing
Form 2-T delay in closing	7 days
Earnest money to the closing attorney	No sooner than 10 days before closing
Name, address, email or affiliation change → Commission	Within 10 days
BIC or provisional broker supervision ends → Commission	Within 10 days
Criminal conviction (including DWI) → Commission	Within 60 days
Disputed earnest money to the Clerk of Court	After 90 days' written notice
Transaction records	Keep 3 years from the latest of closing, end of the relationship, or payout of all funds
License renewal	Every year by June 30
BIC continuing education	By June 10
Property taxes	Lien January 1, due September 1, interest after January 5
County reappraisal	At least every 8 years

Agency timing

- **Initial contact:** buyer's agent tells the listing side who they represent.
- **First substantial contact:** brochure to every buyer and seller in a sale.
- **Listing agreement:** in writing from the start.
- **Buyer agency:** can start oral (non-exclusive, buyer can end anytime), but in writing **by the offer**.
- **Dual agency consent, bonus disclosures, designated agent's name:** by the offer.
- **Written buyer agreement + in-house listing:** written dual agency consent before showing.

Math formulas

When you know the after number and a percentage, divide. Never add or subtract the percentage.

Problem	Formula	Hint
Net to seller	(Net + all dollar costs) ÷ (1 − commission rate)	Add the dollars first, then divide once.
Profit	Sale price ÷ (1 + profit rate)	35% profit → divide by 1.35.
Loss or depreciation	Value now ÷ (1 − total rate)	7 years at 3% = 21% → divide by 0.79.
Commission splits	Total → firm's share → agent's share	Work top-down, one layer at a time.
Front foot	Frontage × price per front foot	First number is the street side. Ignore depth.
Acre	Square feet ÷ 43,560	Memorize 43,560.
Cap rate (IRV)	Rate = NOI ÷ value. Value = NOI ÷ rate	Net, annual income.
Principal from interest	Annual interest ÷ rate	Monthly interest × 12 first.

Problem	Formula	Hint
PITI	(Loan ÷ 1,000 × factor) + taxes ÷ 12 + insurance ÷ 12	Use the loan, not the price.
Points and origination	Loan amount × points %	1 point = 1% of the loan. "Normal" origination = 1%.
Points and yield	1 point = ⅛% yield. 2 points = ¼%	Count quarter percents, then double.
Down payment	Lower of price or appraisal × (1 − LTV)	Ignore the list price.
NC excise tax	Sale price ÷ 500, round up, × $1	Seller pays. Ignore how it's financed.
Prorations	Annual ÷ 360 × days	Seller owns closing day. Use 30-day months.
Management fee	Rent collected × rate	Collected, not owed. Vacant or unpaid units don't count.

Investment and profit formulas

Problem	Formula	Hint
Percent profit	(Sale price − cost) ÷ cost	Always divide by what was **paid**, never by the sale price. Bought at $80,000, sold at $100,000 = 25%, not 20%.
Original cost from sale price	Sale price ÷ (1 + profit rate)	10% profit → divide by 1.10. Never take the percentage off the sale price.
Capital gain	Amount realized − adjusted basis	Amount realized = sale price − selling costs. Adjusted basis = purchase price + buying costs + improvements − depreciation. What you got − what you put in.

Problem	Formula	Hint
Income chain	Potential gross income − vacancy = effective gross income − operating expenses = NOI − debt service = before-tax cash flow	Each trap answer skips one step.
Value from income	NOI ÷ cap rate	Annual income. Small number (income) on top.
Cap rate	NOI ÷ value	If the answer is a big number, you flipped it.
Equity dividend rate (cash-on-cash)	Before-tax cash flow ÷ down payment	(NOI − mortgage payments) ÷ cash invested. What you keep ÷ what you put in.

Federal tax basics

Topic	Rule	Hint
Home sale exclusion	$250,000 of gain tax-free if single, $500,000 if married filing jointly	Must have owned **and** lived there as a main home 2 of the last 5 years. Gain under the limit = no tax owed.
Improvements vs. repairs	Improvements (garage, addition, new roof) add to basis. Repairs (painting, fixing a leak) don't	Improvements add value or space. Repairs just maintain.
Homeowner deductions	Mortgage interest and property taxes may be deductible	Principal payments and homeowners insurance are not.
1031 exchange	Defers tax when trading investment property for like-kind investment property	Never for a personal home. 45 days to identify, 180 days to close.
Depreciation	Only on investment or business property	Never on your own home, and never on land.

Home construction

- **R-value:** resistance to heat transfer. Higher R = better insulation.

- **Eave:** the roof overhang. Fascia = the front face board (gutters attach). Soffit = the underside. Frieze board = where the wall meets the soffit. Rafter tails form the overhang.
- **Square footage:** measured from the **exterior walls**. Living area must be heated, finished, and directly accessible. Garages, porches, and unfinished basements don't count.

Closing statement entries

- **Prepaid taxes:** credit seller, debit buyer.
- **Taxes or mortgage interest unpaid (in arrears):** debit seller, credit buyer.
- **Rent the seller collected:** debit seller, credit buyer.
- **Assumed loan:** debit seller, credit buyer.
- **Seller financing (purchase money mortgage):** debit seller, credit buyer.
- **New bank loan:** credit buyer only.
- **Interim interest:** debit buyer only, from closing day through month's end.
- **Seller's personal property taxes:** debit seller only.